



Standing Out from the Crowd

In a crowded marketplace, your business needs to stand out amongst rivals in order to attract customers and clients. This involves building and maintaining a unique competitive advantage.



Creating advantage

When starting a business, you need to quickly identify what will make your product or service stand out, giving you a competitive advantage. Gaining and sustaining this advantage by offering greater value or better benefits than competitors is especially crucial when you first enter a crowded market.

You can create this greater value in several ways. You can offer a product or service that is unique or new, one of higher quality or with superior customer service, or give guarantees. These are your unique selling points (USPs). Whichever you choose, it is important to make sure that customers perceive their value, as these are what gives you a competitive advantage.

Providing better benefits than the competition (a differentiation advantage) or offering the same

benefits at a competitive price (a cost advantage) are possibilities, but beware of making price your USP. Low prices can be interpreted as low quality, and since you can be undercut by rivals, you will not attract a loyal customer base.

Identifying your customers and understanding their needs (see pp.40–41) is central to building a competitive advantage. However, to retain their custom, you will need to pay attention to what is happening in the marketplace, and constantly monitor what existing and new competitors are offering.

The value your business offers to its customers must be commercially viable. There would be no point in increasing business costs in order to attract customers if your profits become minimal. It is crucial to strike the right balance between the value offered and profit.

What sets you apart

Promoting what makes your business better than the competition tells potential customers why they should choose you, and will help to attract your target market. This uniqueness should form part of your “value proposition”—the promise you make to customers about the qualities and benefits they can expect from you and your business.

“You should learn from your competitor, but never copy. Copy and you die.”

Jack Ma, co-founder of Alibaba.com, 2007

